Rajasthan Electricity Regulatory Commission, Jaipur

Petition No. RERC/ 2450/2026

Petition under Section 86(1)(b) of the Electricity Act, 2003 read with Clause 7.1 of the Guidelines for Short-Term Procurement of Power by Distribution Licensees through Tariff Based Competitive Bidding Process issued by the Ministry of Power, Government of India on 30.03.2016, seeking consent of this Hon'ble Commission for selection of the single bidder in respect of certain requisitions under the e-Reverse Auction (TN-35) conducted on the DEEP Portal on 12.10.2026.

Coram:

Dr. Rajesh Sharma	**Chairman**
Shri Hemant Kumar Jain	**Member**
Shri Vijay Pal Singh	**Member**

Petitioner: Rajasthan Urja Vikas & IT Services Limited (RVUITL)

Respondents: State Load Dispatch Centre (SLDC)

Date of hearing: **28.10.2026**

Present: Adv Rimali Batra , Advocate for Petitioner.
Sh Dinesh Khandelwal, Representative for Respondent SLDC.

Order Date: **29.10.2026**

Order

1. The Petitioner, Rajasthan Urja Vikas and IT Services Limited ("RUVITL") undertakes procurement of power on behalf of the Rajasthan Discoms, who are the distribution licensees in the State of Rajasthan. The instant Petition is being filed by the Petitioner on behalf of the Rajasthan Discoms collectively.

2. Rajasthan State Load Despatch Centre ("SLDC/Respondent") is the apex body for integrated operation of the power system in the State of Rajasthan under Section 32 of the Electricity Act, 2003 ("Act"). It is responsible for optimum scheduling and dispatch of electricity, monitoring grid operations, and exercising supervision and control over the intra-State transmission system, in accordance with the Rajasthan Electricity Grid Code ("State Grid Code").

3. **Petitioner in its petition and during hearing(s) mainly made following submissions:**

3.1 The Petitioner has preferred the instant Petition under Section 86(1)(b) of the Electricity Act, 2003 read with Clause 7.1 of the Guidelines for Short-Term Procurement of Power by Distribution Licensees through Tariff Based Competitive Bidding Process issued by the Ministry of Power, Government of India on 30.03.2016, seeking consent of the Commission for selection of the single bidder in respect of certain requisitions under the e-Reverse Auction (TN-35) conducted on the DEEP Portal on 12.10.2026. The single bidder who's participated for the months of November and December 2026 is NTPC Vidyut Vyapar Nigam Limited ("NVVN"), a trading licensee.

3.2 The Petitioner submitted that During the month of September 2026, the power supply position in the State of Rajasthan had became critical due to a significant increase in demand, weak and uneven rainfall, high temperature and humidity, increased agricultural and irrigation requirements, and reduced availability from the State's generating stations. The average demand during the month was approximately 14,518 MW, as against 12,340 MW during the corresponding period of the previous year, while the maximum demand reached 17,557 MW.

3.3 The Petitioner further submitted that the availability from RVUNL generating stations averaged approximately 4,795 MW against the expected level of 5,800 MW. The Extended outages of Kalisindh Unit-1 (600 MW) and Kota Unit-6 (195 MW), along with intermittent outages of other generating units and constraints

in coal availability and quality, further aggravated the situation.

3.4 The Petitioner also submitted that the availability of coal has also remained under pressure at the national level. Public reports indicate that India's night time power shortage increased to 7.7 GW in September 2026, that hydropower generation fell by 12% during the first three weeks of September, and that rainfall during June to September remained 15% below normal due to the prevailing conditions.

3.5 The Petitioner submitted that in September 2026, that only around 10% of the bids placed by the Petitioner in the market were cleared in the evening hours. Even under the High-Price DAM (HP-DAM) category, where bids were placed at rates above Rs.10/kWh, clearance remained limited to around 5%, indicating severe constraints on market-side availability. Consequently, the annual maintenance shutdown of RVUNL generating units, originally planned during the monsoon period, was deferred.

3.6 The Petitioner further submitted that these shortages are not limited to impacting the State of Rajasthan, but also other states have faced similar situations, like the States of Punjab, Kerala, Tamil Nadu and Andhra Pradesh have faced high demand and have undertaken additional and advance procurement, which in turn has reduced availability in the short-term market.

3.7 The Petitioner submitted that The Ministry of Power, Government of India, on 25.09.2026, issued directions under Section 11 of the Electricity Act, 2003 to all the coal-based captive generating plants of 50 MW and above to operate at maximum available capacity and sell surplus power through power exchanges, effective from 01.10.2026 to 31.12.2026.

3.8 The Petitioner submitted that the anticipated demand-availability position for the Rabi season, after accounting for procurement already undertaken on the Exchanges and the DEEP Portal, is as under:

Month	Avg. Availability (MW)	Avg. Demand (MW)	Avg. Deficit (05–10 hrs.) (MW)	Avg. Deficit (16–21 hrs.) (MW)
Nov 2026	13,691	15,376	1,821	960
Dec 2026	15,559	16,112	3,255	1,650
Jan 2027	14,660	15,691	3,032	1,872
Feb 2027	15,784	15,741	2,602	576
Mar 2027	15,782	13,475	973	120

3.9 The Petitioner submitted that RVUNL vide letter dated 29.09.2026, intimated that the annual maintenance shutdown of each unit is essential for boiler maintenance to ensure safe and reliable operation of the unit at rated capacity, and that capital shutdown is required once every 5 years for turbine inspection and maintenance to prevent major equipment failure. The planned shutdown could not be taken due to the prevailing power crisis, which may adversely affect efficiency, reliability and generation capability during the Rabi season.

3.10 The Petitioner submitted that, in order to meet the deficit, it had invited bids on the Exchanges on 02.10.2026 for procurement of peak power for November and December 2026, but no participation was received. Another attempt was made again on 08.10.2026, in order to explore the possibility of procuring power during 05:00 hrs. to 21:00 hrs., but again no participation was received.

3.11 The Petitioner further submitted that it had invited bids on the DEEP Portal (TN-35, e-Reverse Auction) for peak power for the Rabi season as well as RTC and evening peak power for the next summer season. The e-Reverse Auction was held on 12.10.2026.

3.12 The Petitioner further submitted that it had received a single bid for November 2026 and December 2026, and there was no participation for April 2027 and May 2027.

3.13 The requisitions in which only one bidder responded, and the rates discovered, are as follows:

Month	Time Block	Trader	Quantum	Discovered Rate
November 2026	05:30–09:30 hrs	NVVN	45 MW	Rs. 9.49/kWh
November 2026	16:30–21:30 hrs	NVVN	40 MW	Rs. 9.99/kWh
December 2026	16:00–21:00 hrs	NVVN	30 MW	Rs. 9.99/kWh

3.14 The Petitioner submitted that the power offered by NVVN in these requisitions is sourced from Madhay Bharat Power Corporation. The discovered rates are at the RVPN periphery; therefore, ISTS losses shall be to the account of the bidder, and T-GNA charges (around Rs. 0.60/kWh) are not applicable if the power is scheduled under the existing GNA of Rajasthan, subject to availability of margin in the respective time block.

3.15 The Petitioner submitted that based on the demand-availability position and the rates discovered through competitive bidding, it is prudent for the Petitioner to procure the entire quantum offered against the bids invited through the DEEP Portal at rates up to Rs. 20/kWh for November 2026 to February 2027.

3.16 The Petitioner further submitted that considering the timeline of the DEEP Portal, the Petitioner seeks consent of the Commission for procuring for selection of the single bidder in terms of the Guidelines.

3.17 Clause 7.1 of the Guidelines for short-term (i.e. for a period of more than one day to one year) Procurement of Power by Distribution Licensees through Tariff based bidding process is reproduced here as under:

> *"7 Bid submission and evaluation*
>
> *7.1 To ensure competitiveness, the minimum number of Bidders should be at least two for each requisition. If the number of Bidders responding to the RfP is less than two, and Procurer still wants to continue with the selection process, the selection of that single Bidder may be done with the consent of the Appropriate Commission."*

3.18 The Petitioner submitted that the Clause 7.1 of the Guidelines expressly contemplates that, where fewer than two bidders respond, the Procurer may continue with the selection of the single bidder with the consent of the Appropriate Commission, and the Petitioner seeks precisely such consent.

3.19 The Petitioner further submitted that it had made bona fide and repeated efforts to procure power competitively, including on the Exchanges on 02.10.2026 and 08.10.2026 and through the DEEP Portal e-RA on 12.10.2026, and the lack of a second bidder reflects the tight national market rather than any deficiency in the bidding process.

3.20 The Petitioner further submitted that the rates discovered in the single-bidder requisitions (Rs. 9.49/kWh and Rs. 9.99/kWh) are among the lowest discovered in the e-RA and are substantially lower than the rates quoted by other bidders for comparable peak blocks, which range up to Rs. 20/kWh, and are therefore reasonable and in the interest of consumers.

3.21 The Petitioner also submitted that the rates are at the RVPN periphery with ISTS losses on the bidder's account, and T-GNA charges are not applicable if scheduled under Rajasthan's existing GNA, so the landed cost is not burdened further.

3.22 The Petitioner submitted that a substantial deficit is anticipated during morning and evening peak hours in November and December 2026 (1,821 MW and 960 MW, and 3,255 MW and 1,650 MW respectively), and rejection of the single bids would leave this requirement to be met from uncertain DAM/RTM markets at potentially higher prices or would risk load shedding.

3.23 The Petitioner further submitted that the bidders have the option to exit within 15 days of the e-RA, i.e., by 27.10.2026, without forfeiting EMD, and timely consent is necessary to secure the offered quantum.

PRAYER

3.24 Petitioner most respectfully prayed that the Commission may graciously be pleased to:

a) Grant consent under Clause 7.1 of the Guidelines dated 30.03.2016 for selection of the single bidder, NTPC Vidyut Vyapar Nigam Limited, as discovered in the e-Reverse Auction (TN-35) held on the DEEP Portal on 12.10.2026;

b) Pass such other or further orders as this Hon'ble Commission may deem fit and proper in the facts and circumstances of the case.

5. SLDC in their written submission and during hearing(s) have mainly submitted as under:

5.1 The Respondent confirms that the power supply position in the State became critical in September 2026. The Respondent also acknowledges that average demand was approximately 14,518 MW, against 12,340 MW in the corresponding period of the previous year, and maximum demand reached 17,557 MW. The Respondent also acknowledges that availability from RVUNL stations was low due to forced outages and coal supply constraints.

5.2 The Respondent submitted that during September 2026, various communications were received from NRLDC regarding continuous over drawal from the grid during morning and evening peak hours under low-frequency conditions. The NRLDC had issued successive Alert, Emergency, and Extreme Emergency violation messages, indicating that Rajasthan's actual drawal was substantially higher than the scheduled drawal. The matter was duly brought to the notice of RUVITL and advised to control over drawal. Substantial deficits are anticipated in the morning and evening peak hours during the Rabi season also.

5.3 The Respondent submitted that Under Section 32(2) of the Act, the Respondent is responsible for ensuring grid security and economic operation of the State grid. The State Grid Code obliges all users to maintain grid discipline, balance their load and generation, and adhere to their schedules.

5.4 The Respondent further submitted that a persistent, unbridged deficit during peak hours leaves the State only two outcomes: over-drawal from the grid or load shedding. In such a situation, the over-drawal causes frequency deviations, endangers the security of the interconnected grid, and exposes the Distribution Companies to deviation charges and to regulatory action by the Regional and National Load Despatch Centers. Further, in case of unplanned load shedding disrupts supply to consumers, particularly agricultural consumers during the Rabi season. Further, the firm, scheduled power arranged in advance as being proposed by the Petitioner for approval in its captioned Petition, also allows the Respondent to plan day-ahead schedules, maintain adequate reserves and keep the grid within operating limits. This consequently reduces dependence on uncertain DAM/RTM clearance.

5.5 The Respondent submitted that the SLDC (Respondent) has no objection on the grounds and relief sought by the Petitioner in the present Petition to the extent of the purchase of said power for point of the grid security to avoid anticipated over drawal from the grid.

Commission Views:

8 The Commission has considered the submissions made by the Petitioner/Respondent and oral arguments during hearing.

9 The present Petition seeks the Commission's consent under Clause 7.1 of the Guidelines for Short-Term Procurement of Power by Distribution Licensees through Tariff Based Competitive Bidding Process, issued by the Ministry of Power, Government of India, on 30.03.2016, for selection of NVVN as the single bidder for three requisitions under the e-Reverse Auction (TN-35) conducted on the DEEP Portal. The Commission notes the Petitioner's submission that the power supply position in Rajasthan became critical during September 2026 due to increased demand, adverse weather conditions, agricultural requirements and reduced generation availability. Average demand increased to approximately 14,518 MW from 12,340 MW in the corresponding period of the previous year, with maximum demand reaching 17,557 MW, while average availability from RVUNL stations was approximately 4,795 MW against the expected 5,800 MW. Generating unit outages and coal constraints further aggravated the deficit, while limited clearance of bids in the short-term market constrained alternative procurement.

10 The Commission further notes that the Petitioner's attempts to procure power through the Exchanges on 02.10.2026 and 08.10.2026 received no participation. Thereafter, the bidding conducted on the DEEP Portal on 12.10.2026 resulted in a single bid from NVVN for supply of 45 MW during 05:30–09:30 hrs. at Rs.9.49/kWh and 40 MW during 16:30–21:30 hrs. at Rs.9.99/kWh for November 2026, and 30 MW during 16:00–21:00 hrs. at Rs.9.99/kWh for December 2026.

11 The Commission notes that Clause 7.1 of the aforesaid Guidelines stipulates a minimum of two bidders for each requisition to ensure competitiveness. Where fewer than two bidders respond and the procurer wishes to continue with the selection process, the provision permits selection of the single bidder with the consent of the Appropriate Commission. The present Petition accordingly seeks

the Commission's consent for selection of NVVN in respect of the above requisitions.

12 The Commission further observes that the Respondent, SLDC, has supported the petitioner and corroborated the critical power supply position during September 2026, including the increased demand and reduced availability from RVUNL generating stations. SLDC has also submitted that NRLDC issued successive Alert, Emergency and Extreme Emergency violation messages concerning overdrawal by Rajasthan during morning and evening peak hours under low-frequency conditions. These instances were brought to the notice of RUVITL with advice to control overdrawal. SLDC has further indicated that substantial deficits are anticipated during morning and evening peak hours in the Rabi season.

13 The Commission notes SLDC's submission that, in discharge of its responsibilities under Section 32(2) of the Electricity Act, 2003, it is required to ensure grid security and economic operation of the State grid. A persistent deficit during peak hours, if left unaddressed, may necessitate either overdrawal from the grid or load shedding. While overdrawal under low-frequency conditions compromises grid security and exposes the Distribution Companies to deviation charges and regulatory action, unplanned load shedding adversely affects consumers, particularly agricultural consumers during the Rabi season. Advance procurement of firm, scheduled power would facilitate day-ahead scheduling, maintenance of adequate reserves and operation of the grid within permissible limits, while reducing dependence on uncertain clearance in the Day-Ahead and Real-Time Markets.

14 The Commission notes that procurement of power through tariff-based competitive bidding is required to be undertaken in accordance with the guidelines issued by the Ministry of Power, Government of India, under Section 63 of the Electricity Act, 2003. In the present case, the Petitioner has conducted the bidding process under the short-term procurement guidelines issued by the Ministry of Power. However, only one bidder responded to each of the three

requisitions in question, resulting in a single-bidder situation. Such a situation is expressly contemplated under Clause 7.1 of the Guidelines, which provides that where the number of bidders responding to the RfP is less than two and the procurer wishes to continue with the selection process, selection of the single bidder may be undertaken with the consent of the Appropriate Commission. In view of the prevailing power supply situation in the State and for the reasons set out in the Petition, the Petitioner seeks to proceed with the selection of the single bidder under the aforesaid provision.

15 The Commission also notes that SLDC is the statutory body entrusted under Section 32 of the Electricity Act, 2003 with ensuring the integrated operation of the power system in the State. Its functions include optimum scheduling and despatch of electricity, monitoring grid operations, supervision and control over the intra-State transmission system, and real-time grid control to ensure secure and economic operation in accordance with the Grid Standards and the State Grid Code. Accordingly, the views and submissions of SLDC on matters concerning grid operation and security merit due weight. In its reply supporting the Petition, SLDC has highlighted instances of overdrawal during peak hours under low-frequency conditions and the substantial deficits anticipated during the Rabi season. These submissions reinforce the need for advance procurement of firm power to bridge the anticipated deficits and maintain grid discipline.

16 The Commission further notes that Regulation 17 of the Resource Adequacy Regulations provides for additional power procurement during the year, in accordance with the said Regulations and the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025. The provision permits a distribution licensee, after carrying out a detailed study, to enter into additional agreements for procurement of power in the event of an unanticipated increase in demand, a shortfall or failure of supply from an approved source, or where power from existing tied-up sources becomes costlier than available alternatives. It also permits short-term procurement without prior approval of the Commission under

the specified circumstances, including emergency conditions threatening grid stability, directions of SLDC/RLDC to prevent grid failure, exigency conditions and short-term banking with other States.

17 The Commission also notes that Regulation 77(6) of the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025 permits Distribution Licensees to enter into short-term arrangements or agreements for procurement of power without prior approval of the Commission in the circumstances specified therein. In particular, clause (a) provides for procurement in accordance with the Central Government's guidelines for short-term procurement through tariff-based bidding, subject to the approved ceiling tariff. The said Regulation also provides for procurement within the price band specified by the Commission for contingency situations, procurement through banking transactions, and procurement to meet unforeseen contingencies, requirements of less than fifteen days, purchases from power exchanges, or emergencies threatening system stability, including procurement pursuant to SLDC directions to prevent grid failure. For purchases covered by clause (d), the rate may be higher or lower than the approved ceiling rate; however, the annual average rate of such short-term purchases is required to remain within the approved ceiling.

18 The Commission further notes that Regulation 77(7) of the Tariff Regulations 2025 provides for consideration of prudent power procurement costs incurred to ensure round-the-clock supply and meet resource adequacy requirements, subject to transparent procurement or approval of the procurement price by the Commission. Regulation 77(8) preserves the Commission's power for prudence check during true-up, .

19 On a conjoint reading of the Resource Adequacy Regulations, the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025 and the Commission's Tariff Order dated 30.03.2026, the Commission observes that short-term power procurement in the emergency circumstances specified therein does not

require its prior approval, subject to the applicable conditions. However, this dispensation does not obviate the separate requirement of obtaining the Commission's consent for selection of a single bidder under Clause 7.1 of the applicable bidding Guidelines. The present Petition is, therefore, being considered for the limited purpose of granting such consent. Rest of the issues will be seen during true up proceedings.

20 The Commission also directs the Petitioner to continue exploring lower-cost sources of peak power and, wherever available, procure such power in preference to the present arrangement, subject to its contractual obligations and operational requirements. Further, to improve preparedness and reduce dependence on costly short-term procurement, the Petitioner shall take timely action for installation and commissioning of Battery Energy Storage Systems, including distributed BESS, and for development of Firm and Dispatchable Renewable Energy (FDRE) arrangements. Storage facilities shall be utilised to store low-cost power available during surplus hours and supply it during peak-hour shortfalls, with the resulting benefits passed on to consumers.

21 The Petitioner shall also develop a demand flexibility portfolio in accordance with the Commission's applicable Demand Flexibility and Demand Side Management Regulations to reduce peak demand and the associated higher procurement costs. Further, the Petitioner shall prepare short-term, medium-term and long-term resource adequacy plans in accordance with the Resource Adequacy Regulations.

22 Accordingly, having regard to the Petitioner's submissions regarding the urgent requirement of power to maintain grid discipline and ensure power adequacy, and the supporting submissions of SLDC, the Commission hereby accords its consent under Clause 7.1 of the applicable bidding Guidelines for selection of NVVN as the single bidder for the three requisitions relating to November and December 2026 under TN-35. This consent is limited to selection of the single bidder particularly for the aforesaid period November and December 2026. The

procurement costs shall remain subject to the applicable Regulations, and prudence check during true-up proceedings.

23 The petition is disposed of in above terms.

(Vijay Pal Singh)	(Hemant Kumar Jain)	(Dr. Rajesh Sharma)
Member	Member	Chairman